AVNS — Merger Arbitrage (American Industrial Partners buyout @ $25.00 cash)

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Status: ACTIVE CANDIDATE

Created: 2026-04-14 by S56

Ticker: AVNS (NYSE)

Score: 28.5

Strategy: EDGAR Keyword Scanning (category: mna)

Thesis type: Definitive-deal merger arbitrage (cash offer)

Signal Discovery

• **Source**: SEC EDGAR 8-K filed 2026-04-14 06:07 ET

• **Accession**: 0001606498-26-000046

• **Items**: 1.01 (Material Definitive Agreement) + 7.01 (Reg FD) + 9.01 (Exhibits)

• **Keyword match**: "merger agreement" — strength 5 (direct signal = event)

• **Filing URL**: https://www.sec.gov/Archives/edgar/data/1606498/000160649826000046/

• **Primary doc**: `avns-20260413.htm`

• **Press release exhibit**: `avnsform8k_04132026ex991.htm`

• **Market cap at detection**: $1,147M (above $215M floor)

Deal Terms (verified from 8-K + Ex-99.1 press release)

• **Buyer**: Affiliates of American Industrial Partners (AIP), via A-AV Holdco I, Inc. (Parent) and A-AV MergerSub, Inc. (wholly-owned sub of Parent)

• **Price**: **$25.00 per share in cash** (all-cash)

• **Enterprise value**: ~$1.272 billion

• **Premium to prior close**: 72.1% (Apr 13 close $14.53)

• **Premium to 30-day VWAP**: 82.8%

• **Structure**: Reverse triangular merger (MergerSub into AVNS, AVNS survives as Parent sub)

• **Shareholder approval**: required (typical — board unanimously endorsed per press release)

• **Expected close**: H2 2026 (typical PE take-private timeline: 3-6 months from signing subject to HSR and shareholder vote)

Current Market State (verified 2026-04-14 via yfinance)

• **Prior close (Apr 13)**: $14.53

• **Today's range**: Open $24.55 / High $24.70 / Low $24.51 / Last $24.68

• **Volume**: 19.36M (vs. ~400K normal = **~48x surge** — confirms announcement)

• **Spread to deal price**: $25.00 - $24.68 = **$0.32 per share = 1.3% gross spread**

• Market is pricing ~95%+ probability of deal completion.

7-Dimension Score

Dimension	Score	Weight	Weighted	Rationale
Signal Strength	5	×2	10	Signal IS the event — signed definitive agreement
Catalyst Clarity	5	×1	5	Specific closing mechanism + known timeline (H2 2026)
Info Asymmetry	1	×1.5	1.5	Headline announcement, fully priced into 48x volume day
Risk/Reward	2	×1	2	1.3% upside / ~40% downside if deal breaks (drop to $15 area)
Edge Decay	1	×1	1	Already diffused — post-announcement trading
Liquidity	5	×1	5	19M+ shares traded, ample
Catalyst Timeline	4	×1	4	3-6 month typical PE close
TOTAL			**28.5**	Just above candidate threshold

Thesis

Standard cash merger arbitrage. AIP is a well-capitalized, operationally-focused industrials PE firm. Target is a mid-cap medical technology company with no direct product overlap with other AIP portfolio → **antitrust risk minimal** (standard HSR review expected to clear). No competing bidders flagged. Shareholder approval highly likely given 72.1% premium — substantially above typical premiums (30-40% for strategic deals, 40-55% for PE).

Edge/non-obvious angle: None meaningful. This is a post-announcement arb trade — the discovery signal is informational (confirms our scanner caught a real event in near-real-time), but the market already compressed the spread to 1.3% during pre-market/open. There is no "thesis the market is missing" — the market correctly prices high deal probability.

Why this is still a valid candidate writeup:

1. Validates the EDGAR MNA scanner as functional (it caught a real $1.3B deal on the day of announcement).

2. Provides a documented baseline for future merger-arb signal evaluation.

3. Offers a low-risk/low-reward tactical position for capital not committed elsewhere, IF the 1.3% spread can be captured with acceptable borrow/financing costs over 3-6 months. Annualized ~3-5%, which is only attractive vs. cash if leveraged — outside our mandate (no leverage advice).

4. Serves as a control / reference point: most of our signals are pre-event; this one documents a same-day event.

Creative angle considered and rejected: Could there be a competing topping bid? Rejected — 72.1% premium is already rich for a medtech company of this size (EV/Revenue and EV/EBITDA multiples will need verification in next session but at $1.27B EV this is likely 2-3x revenue, a standard-to-generous medtech multiple). Topping bidders rare when deal clears 70% premium + board unanimous.

Kill Conditions

Exit / mark as dead if ANY of:

1. **Deal termination**: any announcement of termination, material adverse change (MAC), or both-parties-walk.

2. **HSR second request** extending timeline materially (typically adds 2-4 months) — doesn't kill, but reduces annualized return.

3. **Proxy/vote failure**: if AVNS holders vote down the deal (very unlikely at 72% premium but possible).

4. **Regulatory block**: highly unlikely given industry structure, but flag any DOJ/FTC action.

5. **Competing bid**: would raise price but also insert extension/uncertainty — re-evaluate in that scenario.

Monitoring Cadence

- Check for competing bid / topping bid announcements: weekly.
- Check HSR status: 30-day clock from filing — expect first update ~mid-May 2026.
- Check for DEF 14A filing (proxy): typically ~4-6 weeks post-announcement → late-May / early-June 2026.
- Shareholder vote: typically ~40-60 days after DEF 14A → mid-July to mid-August 2026.
- Closing: typical Q3 2026.

Web Research Layer (mandatory)

Executed via sub-agent WebSearch, 2026-04-14:

- No antitrust concerns flagged (standard PE medtech take-private, no product overlap).
- Board unanimous — shareholder litigation risk minimal (typical boilerplate only).
- No competing bidder discussion identified in early post-announcement commentary.
- PE-backed take-privates at 70%+ premiums rarely see activist opposition.

Sources verified:

- SEC EDGAR 8-K filing (primary)
- PR Newswire press release (secondary confirmation)

Sources

- 8-K filing index: https://www.sec.gov/Archives/edgar/data/1606498/000160649826000046/
- 8-K body: https://www.sec.gov/Archives/edgar/data/1606498/000160649826000046/avns-20260413.htm
- Press release (Ex-99.1): https://www.sec.gov/Archives/edgar/data/1606498/000160649826000046/avnsform8k_04132026xex991.htm

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Last updated: 2026-04-14 16:35 UTC by Scheduled Session 56

S64 Update — 2026-04-16

New filings Apr 14

• **DEFA14A** (accession 0001606498-26-000050, 90KB) — definitive additional proxy soliciting material filed by Avanos

• **DEFA14A** (accession 0001104659-26-043093) — definitive additional proxy soliciting material (separately filed, likely filer = AIP or proxy solicitor)

• **8-K** (accession 0001606498-26-000046) — Re-verified. Contains Item 1.01 Entry into Material Definitive Agreement with full terms matching original candidate writeup: $25.00/share cash, A-AV Holdco I / A-AV MergerSub, all TRSU / PRSU / Options cashed at $25.

S64 Interpretation

DEFA14A filings indicate proxy materials are being prepared for a shareholder vote (distinct from the GSAT written-consent approach). This means AVNS deal will follow the traditional DEF 14A → meeting date → record date → vote cycle.

Score impact

Score remains 28.5 — unchanged. Thesis fully intact. These filings are expected procedural steps, not new material information.

S65 monitoring items

• **DEF 14A expected**: Definitive proxy with record date and meeting date (likely within 30-45 days)

• **HSR filing**: expected mid-May (S63 guidance)

• **Topping-bid watch**: Spread at 1.13% implies market sees zero interloper risk — any spike in short interest or unusual option activity would be a signal

Source Trail (S64)

• Research notes: `research/2026-04-16_S64_major_developments.md`

• AVNS DEFA14A #1: https://www.sec.gov/Archives/edgar/data/1606498/000160649826000050/

• AVNS DEFA14A #2: https://www.sec.gov/Archives/edgar/data/1104659/000110465926043093/ (filer separate)

Update Log — S61 (2026-04-15 10:30 UTC)

Status: THESIS INTACT. Spread 1.48% unchanged.

Findings:

• Price: $24.63 (unchanged from Apr 14).

• Two new DEFA14A filings Apr 14:

- `0001606498-26-000050` (company filing): employee communications package re: the proposed acquisition — routine soliciting material.

- `0001104659-26-043093` (third-party filer): announces **postponement of 2026 Annual Meeting** (was scheduled Apr 21). Logical — company will now convene a special meeting for the merger vote instead of holding the annual meeting under the old proxy.

• No topping bid, no litigation notice, no MAC, no HSR second request.

• Normal post-signing housekeeping.

Next checkpoints:

• HSR filing visibility (~30d from signing = mid-May).

• Special meeting proxy (typically 6-8 weeks post-signing = late May/early June).

• Monitor for competing bid (low probability at 72% premium).

Last updated: 2026-04-15 10:30 UTC by Scheduled Session 61

Scoring Rubric — merger_arb

Dimension	Weight	Definition
Spread Size	3.0	Closing spread vs. expected terms.
Deal Certainty	2.5	Approval path, regulatory load, financing.
Annualized Return	2.0	Return annualized on expected close.
Break Risk	1.5	Probability and severity of deal failure.
Liquidity	1.0	ADV vs. intended position size.